

PROS Supply Discrepancy Report (SOR) Processes

In accordance with PWS Paragraph 4.3 and Appendix A, the processes outlined in this document shall be used for all PROS Supply Discrepancy Reports (SDR). ILCO timeframes are provided for illustrative purposes only. All timeframes are calendar days.

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Process 1- Original SDR

Step	Activity	Max Calendar Days	Action
1	ILCO (AFSAC SDR Office)	5	- Review SDR - Release record to PROS contractor, updating SDR-A to status 20 - Awaiting Action Agency Response, or close w/104 or denial w/o sending out
2	Contractor (PROS Prime Contractor)	60	- Review SOR and coordinate with vendor as applicable - If SDR is for information only (H1), such as extended dollar value is \$200.00 or less, contractor shall reply with action activity response code 144 "Recorded for information and trend analysis" - If contractor requires additional information from customer to process SDR, refer to Process 4 - If contractor requires exhibit return for evaluation, refer to Process 5 - If necessary, request extension of Estimated Completion Date (ECO); there shall be no more than two extensions of ECO and total of extension(s) shall not exceed 180 days and extension requests must have valid justification ; Valid justification consists of documentary evidence from vendor of action(s) in process to resolve SOR - Input interim response in WebSDR extending ECO; response shall provide progress and SDR will be changed to 21 status - Provide detailed validity recommendation with supporting documentation and Proof of Delivery (POD) to WebSDR input - pending POD receipt - Upload all supporting documentation and POD (as applicable) in WebSDR
3	ILCO	5	- Review contractor's reply and - Release SOR to FMS customer or - Reject SOR response if missing attachments identified in response or - Coordinate, via email, with contractor if clarification of response is required - Or reject response (23) for clarification - If interim response, change status to reflect (21)
4	Contractor	5	- If rejected due to missing attachments, input documentation in WebSDR - If email is received from ILCO for clarification, provide response - For rejected response (23) in step 4, coordinate and input revised response in WebSDR
5	ILCO	5	- Review contractor's reply and - Release SOR to FMS customer or reject if reply is lacking/insufficient

Process 2 - Request for Reconsideration

If original SOR claim is determined not valid, customer may request reconsideration. A request for reconsideration containing additional discrepancies NOT reported in original SOR may be determined not valid unless the initial failure prevented customer from discovering additional discrepancy, e.g. item failed on step 1 of test in original SOR and upon return to customer it failed on step 3.

Customer must request reconsideration within 45 days of original SOR response release date as indicated in SOR-A, unless exhibit was returned during original SOR. If exhibit was returned, customer is allowed 90 days to request reconsideration.

Step	Activity	Max Calendar Davs	Action
1	Customer	45 or 90	Request Reconsideration of SDR, including added info required
2	ILCO	5	Update SOR to status 20 "Awaiting Action Agency Response" and route to contractor or deny if no added info furnished
3	Contractor	60	- Review SOR and coordinate with vendor as applicable - Recommend SOR not valid if customer claims additional discrepancies not reported in original SOR - If contractor requires additional information from customer to process SOR, refer to Process 4 - If contractor requires exhibit return for evaluation, refer to Process 5 - If necessary, request extension of Estimated Completion Date (ECO); there shall be no more than two extensions of ECO and total of extension(s) shall not exceed 180 days and all extension request must have valid justification ; valid justification consists of documentary evidence from vendor of action(s) in process to resolve SOR - Input interim response in WebSDR extending ECO; response shall provide progress status - Upload all supporting documentation and POD (as applicable) in WebSDR - Input reply in WebSDR
4	ILCO	5	- Review contractor's reply and - Release SOR to FMS customer or - Place SOR in Interim status (21) if awaiting POD and update suspense or - Reject reply (23) if missing or incorrect attachments identified in response or - Coordinate, via email, if response clarification required - If interim response, status will be updated to reflect (21)
5	Contractor	5	- If rejected due to missing attachments, input documentation in SOR-A - If email is received from ILCO for clarification, provide response - For rejected response (23) in step 5, coordinate and input revised response in SOR-A
6	ILCO	5	- Review contractor's reply and - Release SOR to FMS customer or reject if reply is lacking/insufficient

Process 3- Contested SDR

If Reconsideration SOR is determined invalid, customer may contest decision with additional supporting documentation. Additional discrepancies NOT reported in original or reconsideration SORs will be determined invalid unless initial failure prevented customer from discovering additional discrepancy, e.g. item failed on step 1 of test in original SOR and upon return to customer it failed on step 3.

Customer must request contest within 45 days of reconsideration SOR response release date as indicated in SOR-A, unless exhibit was returned during reconsideration SOR. If exhibit was returned, customer is allowed 90 days to request contest.

Step	Activity	Max Calendar Days	Action
1	Customer	45 or 90	• Submit Contested SOR with additional supporting information
2	ILCO	20	• Upon receipt, ILCO will review the contested SOR submission and supporting documentation (status code 14 - "Rejected SOR Submission - Requires ILCO Review") • Change SOR to status 26- "ILCO Intervention" • Validate and prepare the contested package to include cover letter for PMO and AFLCMC/WFK, to include statement of events and copies of any supporting documentation • If additional, substantive information provided by customer or an event has occurred requiring another PMO review, forward contested SOR package to PMO • Change SOR status code to 15 - "Awaiting PROS PMO Assessment (Contested)"
3	PROS PMO (As Required)	50	• Review and generate PMO assessment of SOR claim • As part of PMO assessment, contractor may be required to review any additional information provided in contested package to determine if additional information impacts previous decision • Attach PMO assessment to contested SOR package and return to ILCO • If, during PMO assessment, vendor reverses previous denial and proposes resolution to SOR, PMO will coordinate contractor's response via email with ILCO; If additional information or exhibit return is required, the process reverts back to Process 2; Request info or exhibit return per Process 4 or 5 as applicable

Step	Activity	Max Calendar Days	Action
4	ILCO	As required	• Coordinate with AFSAC management (Legal, SAF/IA & DSCA as applicable); If no contractor/USG liability: - Determine location of assets and direct return to customer if required - Obtain evidence of material return and attach to final reply - Input reply closing SOR in SOR-A (status code CD - "Credit Denied") and send final reply to customer • If USG liable: - Determine location of assets and direct return to customer if required - Obtain evidence of material return and attach to final reply - Input reply closing SOR (status code CA- "Credit Approved") and send final reply to customer - Process reimbursement via admin funds • If Contractor liable: - Forward package to AFSAC/WFK for resolution - Change Status code to 54 - "Awaiting AFLCMC/WFK Action on Legal or MILDEP/DSCA Approval."
5	AFSAC/ WFK	30	• If AFLCMC/WFK accepts SAF/IA and DSCA final determination of contractor liability, take appropriate action by issuing demand letter to PROS contractor with copies to ILCO, Legal, and PMO • If AFLCMC/WFK disagrees with SAF/IA and DSCA final determination and justifies contractor non-validity recommendation: - Coordinate response with necessary parties - Generate official correspondence for SAF/IA and DSCA review that justify contractor's recommendation - Forward official correspondence to ILCO
6	Contractor	30	• Respond to demand letter - Provide credit by inputting reply with action activity response code 101 - "Credit Approved" and process credit invoice, if applicable, or - Provide alternate method of resolution
7	AFSAC/ WFK & PMO	5	• Notify ILCO of final contract resolution

Process 4 - Request for Additional Information

Step	Activity	Max Calendar Days	Action
1	Contractor	10	Input reply in WebSDR (Reply code 104 - "Additional Clarification Required from Customer. See Remarks")
2	ILCO	5	Forward SOR reply requesting additional information to customer and update SOR status to 99 - "Awaiting Customer Response"
3	Customer	45	Provide additional information requested
4	ILCO	5	- If received within 45 days, SOR-A will automatically forward updated SOR to contractor, updating SOR to status 20 - "Awaiting Action Agency Response" - Process reverts to Process 1 or 2 as applicable - If response from customer not received by day 46, SOR-A will automatically close SOR and provide email notification to customer, PMO and contractor

Process-5. - Exhibit Return Request

Note 1: Customer is required to return exhibit to USG custody within 180 days of notification as indicated in SOR-A. If vendor requires exhibit receipt at its facility (versus USG in-country turn-in point) within specified warranty timeframe and that timeframe is less than the required 180 days, contractor shall notify customer of reduced exhibit return time, with explanation why return time is reduced.

Note 2: When requesting exhibit, contractor shall include POC name and phone number at the exhibit destination in the exhibit request per U.S. Customs requirement.

Step	Activity	Max Calendar Days	Action
1	Contractor	10	- Provide Not To Exceed (NTE) cost if evaluation fee will be charged for TTI should SOR be denied - Notify customer of reduced exhibit return time if applicable w/explanation - Input exhibit return request in WebSDR (Reply Code 108 - "Forward Material to Address Shown for Inspection/Exhibit Analysis)
2	ILCO	5	- Generate DD 1348 for customer to return discrepant material - Update SOR status to 99 - "Pending Exhibit Return" - Monitor SOR until material physically returned to final destination provided by contractor
3	Customer	180	- Properly package SOR exhibit for shipment - Return SOR exhibit as directed to final destination provided by contractor (USG allows an additional 30 days for customer to provide notification of shipment for total of 210 days, except as indicated in Note 1 above. Customer will receive follow-up reminder at 60 and 120 days and notice of closure at 210 days) - Notify ILCO of material return; Failure to notify may result in closure of SOR
4	ILCO	5	- If customer provides notification of exhibit turn-in to USG custody, ILCO will attach to record, await receipt confirmation by contractor - Upon confirmation of exhibit receipt at final destination, ILCO will update SOR status to 20 - "Awaiting Action Agency Response" w/contractor's Estimated Completion Date (ECO) of TTI

Step	Activity	Max Calendar Days	Action
5	Contractor	60	• If exhibit not received as required, contractor inputs denial in WebSDR; SOR may revert back to Process 1 or 2 • SDR reverts back to Process 1 or 2 as applicable